flation. So, for long-term investors, it should not matter if this is really a bull market. But investors need to be cautious not to get swayed by experts and influenced by their views on the golden run of the stock markets. After all, when the market soars suddenly, small and new investors are the first ones to think their investments are gaining because of their skills (see *Mistakes Small and New Investors Should Avoid*).

The bull will continue to run as long as fundamental factors support revenue and profit growth, and valuation multiples stay strong. Right now, there is a lot going for the markets—there is a very regular inflow of money from domestic small investors, says data from the AMFI (Association of Mutual Funds in India). SIP inflows breached the Rs 15,000 crore mark in July this year. This steady inflow of money into the markets with greater retail investor participation augurs well for long-term wealth-creation.

Investing in stock markets is serious business and investors should not take it casually. The stock market rewards investors who are patient and who invest after some due diligence and study. Establish an investment strategy that meets your needs and is at a level that you are comfortable with. Your discipline may be as simple as buying stocks you know, or stocks that grow their dividend every year or invest in equity indices through an ETF (exchange traded fund). But remember to be patient. Just as a diet or exercise routine may not yield the desired result in a short time, investing in the markets is also for the long term. You will achieve your desired result only if you stick to the plan.

Having an investment plan could do wonders to your financial life. You will have a clear investment basket aligned to your investment goal, which you will continue to stay invested in till it is achieved. Stick to the fundamentals of investing with asset allocation and diversification. Often these two aspects of investing are overlooked for quick money and sometimes it is difficult for investors to follow these two on their own. It is a good idea to seek assistance on your investments if you feel out of depth.

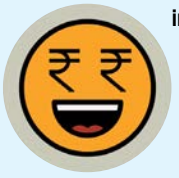
Remember, just because the stock indices rise during

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There is an old saying that applies every investor, 'The best time to invest was 10 years ago, and the second best time is now.' It is a profound statement, but many new investors often get carried away with the sentiment, trying to make up for the late start by investing aggressively in anything and everything. New and small investors often make mistakes that they could have easily avoided and can increase their chances of profiting in the years to come by not committing some common mistakes.

1 DON'T BE GREEDY, CHECK THE FUNDAMENTALS

A bull market is the time to be cautious with investments and not be greedy by playing catch-up. Sticking to quality stocks and mutual funds (MFs) is essential to investing success. Don't make the mistake of blindly investing in stocks and funds that have delivered great returns in a recent rally. Many of these stocks may have run beyond their fair value; they were soaring because of market euphoria and not the fundamentals. There is risk in investing in funds and stocks that are way off their fundamentals. Investing solely because a particular stock or fund is doing well is an emotional trap that could cause diminished returns over the long term. Such an event could also be disappointing for new investors, who then tend to lose faith in the markets.



2 INVEST BASED ON A FINANCIAL PLAN

Just as you do not book travel tickets only because there are discounted fares available, you should not invest in stocks and funds unless there is a need. A financial plan is a goal; an end result you are hoping to achieve by investing in stocks and funds. Think of it like a travel plan you have for a reason; the choice of mode of travel will be based on whether you can afford it and how important it is that you travel. So, for a vacation to a destination in India with the family, one may take a train ride if one has the luxury of time or take a flight if time is short. There are financial instruments that are suitable for the short, medium and long term and investors should be aware of what is suitable for each time-frame. For instance, if your investment goal is three years to create a down payment for a house, investing in equities should be avoided. However, if your investment goal is 30 years away for your retirement, you should consider investing in equities and take a relook as you approach your financial goals.



3 CHANGING INVESTMENT PROCESS

If you love long drives you will know that the roads as well as driving speeds vary depending on the conditions as well as the vehicle you drive. Imagine driving an SUV through a crowded market area during peak